

Essential Insights: Week 5.2



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Subscription to Intelligence Models

From Software to Continuous Intelligence

- Organisations increasingly subscribe to AI-generated insights rather than static tools
- AI systems continuously analyse data and generate recommendations

Illustrative Examples

- AlphaSense delivers AI-driven investment intelligence
- C3 AI provides predictive maintenance insights
- Harvey AI supports legal research and contract analysis

Strategic Shift

- Revenue moves from software licences to recurring intelligence subscriptions

Key Insight

- Competitive advantage increasingly depends on data quality and model performance

Outcome-Based Pricing Models

From Paying for Tools to Paying for Results

- Traditional pricing focused on licences, usage, or labour hours
- AI enables pricing tied directly to measurable outcomes

Illustrative Examples

- Viz.ai links value to faster stroke treatment outcomes
- Persado ties pricing to marketing conversion improvements
- Uptake connects AI pricing to reduced operational downtime

Business Impact

- Aligns provider incentives with customer success
- AI becomes a performance-driven business partnership

AI Arbitrage and Cost Structure Inversion

From Labour Arbitrage to AI Arbitrage

- Cost reduction shifts from cheaper labour to reduced labour dependence
- Cognitive tasks increasingly automated through AI systems

Illustrative Applications

- Intercom AI automates customer support conversations
- Rossum automates invoice and document processing
- Replit accelerates software development with AI coding support

Strategic Outcome

- Competitive advantage depends on AI deployment effectiveness rather than labour location

New Competitive Moats in the AI Era

Emerging Sources of Advantage

- Proprietary data
- Specialised AI workflows and prompts
- Fine-tuned domain-specific models

Illustrative Examples

- LexisNexis leverages proprietary legal datasets
- Jasper embeds structured marketing prompt frameworks
- Insitro trains AI models on specialised biological data

Key Insight

- AI adoption alone is insufficient
- Sustainable advantage comes from intelligence assets competitors cannot replicate

Capital Allocation in the AI Era

Three Strategic Approaches

- Build: Develop proprietary AI internally
- Buy: Deploy external AI solutions rapidly
- Partner: Collaborate with specialised providers

Illustrative Examples

- Bloomberg built BloombergGPT internally
- Companies use DataRobot for predictive analytics
- Pfizer partnered with IBM for AI-enabled drug discovery

Leadership Challenge

- Balance speed, experimentation, and long-term control

Redefining Roles and Job Architectures

Task Decomposition Approach

- Analyse work at the task level instead of replacing entire jobs
- Separate tasks into automation, augmentation, and human judgement

Illustrative Example: Deloitte

- AI accelerates research synthesis and presentation drafting
- Consultants focus more on interpretation and client engagement

Strategic Shift

- Workforce planning increasingly centres on human–AI collaboration and skills redesign

From Headcount to Capability Density

Rethinking Organisational Strength

- Capability increasingly measured by expertise amplified through AI
- Smaller teams achieve larger-scale outcomes

Illustrative Example: Moderna

- AI accelerates genomic analysis and drug discovery workflows
- Researchers test more hypotheses without proportional hiring growth

Business Impact

- Competitive advantage depends on capability per employee rather than workforce size

Talent Strategy in an AI-Native Firm

Emerging Talent Priorities

- AI literacy and prompt engineering
- Systems thinking and model validation
- Responsible AI use and governance

Illustrative Examples

- Accenture scaled AI workforce training globally
- PwC embedded generative AI into consulting workflows
- JPMorgan integrated AI training into banking operations

Key Shift

- Upskilling and governance become baseline organisational requirements

Competitive Advantage in an AI-Saturated World

Technology Parity Creates New Challenges

- Many firms can access similar AI models and infrastructure
- Differentiation depends on execution architecture

Illustrative Example: Zara

- Combines AI trend detection, RFID inventory tracking, and real-time forecasting
- Uses human–AI collaboration to accelerate design-to-store cycles

Strategic Insight

- Proprietary data flows, rapid execution, and integrated decision systems create durable advantage

Regulatory and Ethical Disruption

Two Major Risk Areas

- Intellectual property and dataset provenance
- Synthetic media, impersonation, and deepfakes

Emerging Governance Practices

- Watermarking and provenance verification
- Output moderation and model safety filters
- Governance packs documenting datasets and controls

Leadership Responsibility

- Trust and accountability become operational capabilities, not only compliance requirements

Commoditisation of Intelligence

The Strategic Risk

- Widespread AI access leads to similar outputs across organisations
- Generic models reduce differentiation over time

Illustrative Example: Zendesk AI

- Shared AI components create similar customer-service interactions across firms

Defensible Advantage

- Proprietary organisational data
- Domain-specific workflows
- Context-rich intelligence systems

Key Insight

- The goal is not generic intelligence, but organisation-specific intelligence

The AI-Native Enterprise of 2035

Characteristics of AI-Native Organisations

- Real-time optimisation embedded into workflows
- Large-scale human–AI collaboration
- Leadership focused on oversight and system design

Illustrative Example

- UPS ORION optimises logistics continuously
- DeepMind AlphaFold transformed biological research
- Siemens Senseye enables predictive industrial maintenance

Leadership Shift

- Leaders increasingly govern rules, safeguards, and data ecosystems rather than individual decisions

Future Outlook

- AI-native firms combine automation with strong human judgement and proprietary intelligence systems

Final Takeaways and Strategic Perspective

Major Organisational Shifts

- Subscription and outcome-based business models
- AI arbitrage replacing labour arbitrage
- Capability density replacing headcount focus

Long-Term Competitive Advantage

- Proprietary context and data
- Human–AI collaboration
- Responsible governance and execution speed

Core Strategic Insight

- In an AI-saturated world, advantage comes not from access to AI alone, but from how effectively organisations integrate AI into operations, leadership, and decision-making

Final Reflection

- Generative AI is driving enterprise-wide reinvention across strategy, talent, operations, and business models